C. The Constitution (Eightieth Amendment) Act, 2000	3. Constitution of Panchayats in Villages or at other local levels		
D. The Constitution (Eighty-third Amendment) Act, 2000	4. Accepting the recommendations of the Tenth Finance Commission		
	5. According the status of National Capital Territory to Delhi		

	A	B	C	D
(a)	5	1	4	2
(b)	1	5	3	4
(c)	5	1	3	4
(d)	1	5	4	2

Ans. (a) : 69th Constitution Amendment - 1991 - Delhi was made the National Capital Territory
75th Constitution Amendment - 1994 - Establishment of State Level Rent Tribunals
80th Constitution Amendment - 2000 - Accepting the recommendations of the Tenth Finance Commission
83rd Constitution Amendment -1944 - Arunachal Pradesh was exempted from reservation in Panchayati Raj Institutions as there was no Scheduled Caste.

ECONOMY

56. The prices at which the government purchases food grains for maintaining the public distribution system and for building up buffer-stocks is knows as :

(a) Minimum support prices.
(b) Procurement prices
(c) Issue prices
(d) Ceiling prices

Ans. (a) : Minimum Support Price is the price at which government purchases crops from the farmers. Minimum Support Price is an important part of India's agricultural price policy. The MSP helps to incentivize the farmers and thus ensures adequate food grains production in the country.

57. Consider the following

1. Market borrowing
2. Treasury bills
3. Special securities issued to RBI

Which of these is/are component (s) of internal debt?

(a) 1 only (b) 1 and 2
(c) 2 only (d) 1, 2 and 3

Ans. (d) : Internal debt is that part of the total debt that is owned to lenders within the country. It is the money that government borrows from its own citizens. The government borrows by issuing the Government bonds, treasury bills and special securities issued to RBI. When Government borrows from the domestic sources, the increase in inflation is less in comparison to simply printing the money.

58. Consider the following statements regarding Reserve Bank of India:

1. It is a banker to the Central Government.
2. It formulates and administers monetary policy.
3. It acts as an agent of the Government in respect of India's membership of IMF.
4. It handles the borrowing programme of government of India.

Which of these statements are correct?

(a) 1 and 2 (b) 2, 3 and 4
(c) 1, 2, 3 and 4 (d) 3 and 4

Ans. (c) : Functions of RBI: sole authority to issue currency; government's bank; banker's bank; guardian of money market; lender of the last resort; sole reservoir of Foreign exchange reserves; controller of credit; clearing house for settling inter bank transactions, handles burrowing programme of government of India. It also acts as an agent of the Government in respect of India's membership of IMF.

59. Consider the following factors regarding an industry:

1. Capital investments 2. Business turnover
3. Labour force consumption 4. Power

Which of these determine the nature and size of the industry?

(a) 1, 3 and 4 (b) 1, 2 and 4
(c) 2, 3 and 4 (d) 2 and 3

Ans. (b) : Among various factors entrepreneurial skills, availability of finance turnover and power consumption etc. decides the natural and size of an industry.

60. The most appropriate measure of a country's economic growth is its:

(a) Gross Domestic Product
(b) Net Domestic Product
(c) Net National Product
(d) Per Capita Real Income

Ans. (d) : Per capita real income is nothing but NNP at factor cost. It means national income is sum total of all factor incomes adjusted for increase in prices.

61. Match List I with List II and select the correct answer using the codes given below the lists:

	List I (Term)		List II (Explanation)
A.	Fiscal deficit	1.	Excess of total Expenditure over Total Receipts
B.	Budget deficit	2.	Excess of Revenue Expenditure over Revenue Receipts
C.	Revenue deficit	3.	Excess of Total Expenditure over Total Receipts less borrowings
D.	Primary deficit	4.	Excess of Total Expenditure over Total Receipts less borrowings & Interest Payments

	A	B	C	D
(a)	3	1	2	4
(b)	4	3	2	1
(c)	1	3	2	4
(d)	3	1	4	2

Ans. (a) : A. Fiscal deficit - Excess of total expenditure over total receipts less borrowings
B. Budget deficit - Excess of total expenditure over receipts.
C. Revenue deficit - Excess of revenue expenditure.
D. Primary deficit - Excess of total expenditure over total receipts less borrowings and interest payments.

62. Consider the following organisations:

1. International Bank for Reconstruction and Development.
2. International Finance Corporation.
3. International Fund for Agricultural Development.
4. International Monetary Fund.

Which of these are agencies of the United Nations?

(a) 1 and 2 (b) 2 and 3
(c) 3 and 4 (d) 1, 2, 3 and 4

Ans. (d) : At present the UNO has in total 15 specialised agencies that carry out various functions on behalf of the UN all the given agencies are associated with United Nations Organization.

63. Consider the following taxes:

1. Corporation tax 2. Customs duty
3. Wealth tax 4. Excise duty

Which of these is/are indirect taxes?

(a) 1 only (b) 2 and 4
(c) 1 and 3 (d) 2 and 3

Ans. (b) : Indirect taxes are the charges that are levied on a taxpayer for goods and services. Some of the significant indirect taxes include Value Added Tax, Central Sales Tax, Central Excise Duty, Customs Duty, stamp duties and expenditure tax. Property tax, Corporation tax and Wealth tax are examples of direct taxes.

64. The largest share of Foreign Direct Investment (1997-2000) went to:

(a) Food and food-product sector
(b) Engineering sector
(c) Electronics and electric equipment sector
(d) Services sector

Ans. (d) : The largest share of Foreign Direct Investment (1997-2000) went to the Services sector.

65. Match List I with List II and select the correct answer using the codes given below the lists

	List I (Publisher)		List II (Publication)
A.	Ministry of Industry	1.	Report on Currency and Finance
B.	Central Statistical Organisation	2.	Economic Survey
C.	Reserve Bank of India	3.	Wholesale Price Index
D.	Ministry of Finance	4.	National Accounts Statistics

	A	B	C	D
(a)	4	3	2	1
(b)	3	4	1	2
(c)	4	3	1	2
(d)	3	4	2	1

Ans. (b) : Ministry of Industry – Wholesale Price Index
Central Statistical Organisation – National Accounts Statistics
Reserve Bank of India – Report on Currency and Finance
Ministry of Finance – Economic Survey

66. Which of the following committees examined and suggested Financial Sector reforms?

(a) Abid Hussain Committee
(b) Bhagwati Committee
(c) Chellaih Committee
(d) Narsimhan Committee